b) Roads, primary schools, village dispensaries etc. are to be managed by panchayats.

c) The supply of water, both for drinking and irrigation, falls within their field of responsibility, and in some cases farming, marketing, storage, etc. are entrusted to them.

**Sources of revenue of Village Panchayats**

The following are the sources of revenue of village panchayats.

(i) general property tax,

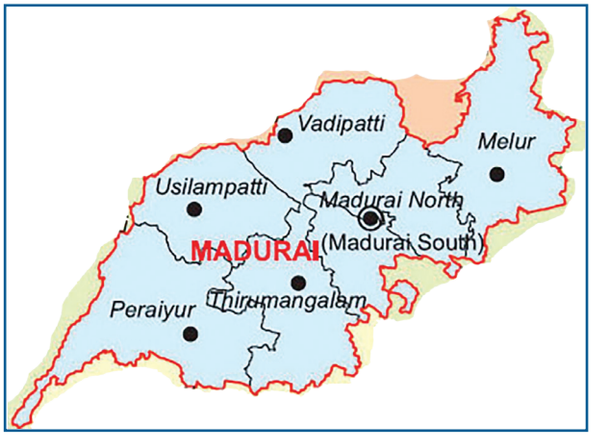
(ii) taxes on land,

(iii) profession tax, and

(iv) tax on animals and vehicles.

Other taxes include service tax, octroi, theatre tax, pilgrim tax, tax on marriage, tax on birth and deaths, and labour tax. As a matter of fact, taxes are levied by the panchayats only with the sanction of the state government, and there are certain limits in respect of tax rates which have to be observed.

**2. District Boards Or ZilaParishads:**




◆ **Establishment:** In rural areas, district boards or Zila Parishads are established at district level. The territorial jurisdiction of a district board is generally a revenue district.

◆ **Functions**

In Tamil Nadu, the Zila Parishad is a co-ordinating body which exercises general supervision over the working of Panchayat Samitis and advises them on implementation of Development Schemes.

**Sources of revenue of District Boards**

(i) Grants-in-aid from the state government.

(ii) Land Cesses.

(iii) Toll, fees etc.

(iv) Income from the property and loans from the state governments.

(v) Grants for the centrally sponsored schemes relating to development work.

(vi) Income from fairs and exhibitions.

(vii) Property tax and other taxes which the state governments may authorise the district boards.

**3. Municipalities**




◆ **Establishment and Functions:** The municipalities are bodies or institutions



12-Economics-Chapter_9.indd 203 23-12-2022 14:45:26